

Calderwood Partners LLC

www.calderwoodpartners.com

May 9, 2019

Joseph Wallace

Chief Financial Officer

Carroll, Merritt and Williams

Re: A program to hold and grow the customers you already have

Dear Mr. Wallace:

This letter records the work you have asked of us, sets out how we will carry it out, and states plainly what it costs and where the risk falls between us. Most of it you and I have already covered in conversation, so read it as a record of what we agreed rather than as anything new. If a term here reads differently from your recollection, telephone me before you sign and we will correct it.

The Problem We Are Taking On

You are losing more of your customers than the business can afford to, and the accounts you keep are worth less to you over time than they once were. You want to understand why, and you want a program you can run afterward without us. This engagement is built to give you both. It answers where and why customers leave, and it hands you a working way to hold and grow the ones you have. The analysis proceeds along four lines:

- A retention baseline: how many customers and how much revenue you keep and lose, measured by segment and by the year a customer first bought, on a single definition we agree at the outset so that every later figure ties back to it.
- The reasons behind the numbers: what your lost and at-risk accounts tell us directly, and what your own service, renewal, and billing records say about the moments when a relationship starts to slip.
- The commercial levers: how renewal pricing, discounting, contract terms, and service levels bear on whether a customer stays, and what each of them costs you to pull.
- A program you can operate: who owns retention, the signals that flag an account before it leaves, the actions to take when they fire, and a sensible order for putting the whole thing in place.

Let me be as clear about what this engagement is not, so that nothing you are expecting is left unsaid. We do not rebuild your billing or CRM systems, and we do not install software; where a recommendation needs a system change, we describe it and leave the build to the people who own that system. We do not audit your records, and we take the customer and revenue figures your people give us as the record. And we

recommend; the decision to act, and the running of the program once it is designed, stay with your managers.

How We Will Work

We work from your own data rather than from industry averages, and every figure in anything we hand you ties back to a workpaper we can produce on request. We keep what we find apart from what we advise, and label each, because a finding and a recommendation do not carry the same weight. We bring you our thinking as it firms up instead of saving it for a closing presentation, so that nothing in the final material reaches you cold. Where a number is still provisional, we mark it provisional and tell you what would settle it.

The People on the Work

Deborah Jimenez, Engagement Manager, runs the work day to day and is your point of contact for anything to do with progress, scheduling, or data; if you have a question and are unsure whom to ask, ask her. Mary Parker, Research Associate, builds the retention baseline and keeps the underlying records straight, and she is the person to reach on how a figure was derived. I set the direction of the work and read everything before it comes to you. On your side, we will treat you, Joseph Wallace, as our sponsor and the person who clears access and decisions, unless you name someone to stand in that place.

Fee and Start

Our fee to Carroll, Merritt and Williams is \$112,500, fixed for the scope set out above. We expect to begin on May 19, 2019 and to reach a completed program design roughly nine months from that date. If you ask us to widen the scope, we will price the addition in writing and will not start it until you have agreed that price. I prefer a fixed fee here so that your people can work alongside us without watching a meter.

Invoicing and Expenses

We bill the fixed fee in equal monthly installments across the term, each invoice payable within thirty days of its date. Travel to your sites and other out-of-pocket costs are billed at cost, itemized, and not marked up.

Duration, and Ending It Early

The engagement runs from the start date above until we deliver the program design, unless one of us ends it sooner. Either of us may end it on fifteen days' written notice, for any reason or none. If you end it early, you owe the fee earned to that date, prorated against the fixed fee, together with expenses already incurred, and we hand over our work in whatever state it has reached.

Confidentiality

Who your customers are, what they pay, and which of them you are at risk of losing are among the most sensitive facts the company holds, and we treat them that way. We use what you give us only for this

engagement and disclose it outside our firm only as you direct in writing or as the law requires. We ask the same of you as to our methods, our workpapers, and the fee recorded in this letter.

The Limit of Our Liability

Our total liability arising out of this engagement, however it is framed, is limited to the fees actually paid to us under it, and neither of us will be liable to the other for indirect or consequential loss, lost profits among them. That limit does not reach our own fraud or willful misconduct. Our deliverables are prepared for your internal use; if you mean to put one in front of a lender, a buyer, or anyone else who might rely on it, raise it with me first so that we can deal with the reliance in writing.

Governing Law

This letter is governed by the law of the state in which our principal office sits, without regard to its conflict-of-laws rules. Any dispute we cannot settle between us goes to mediation before either of us turns to a court.

If these terms are acceptable, please countersign both copies and return one to me; the other is yours. We are glad to take on this work, and Deborah Jimenez and Mary Parker are ready to begin on the date set out above.

Sincerely,

Julie Ramsey

Managing Principal

Date: May 9, 2019

Joseph Wallace

Chief Financial Officer, Carroll, Merritt and Williams

Date: May 9, 2019